

ORIGINAL

IN THE UNITED STATES FEDERAL MARITIME COMMISSION

Cc:
OGC
ALJG2
OS
CADRS

TOYOTA DE PUERTO RICO, CORP.
Complainant

Case No. 19-02



v.

PUERTO RICO PORTS AUTHORITY;
CROWLEY PUERTO RICO SERVICES,
INC. AND OCEANIC GENERAL
AGENCY, INC.
Respondents

SECTION 11 OF THE SHIPPING ACT
OF 1984

VERIFIED COMPLAINT
UNDER 46 U.S.C.A. § 41301(a)
SHIPPING ACT OF 1984

TO THE COMMISSION:

COMES NOW, Complainant, Toyota de Puerto Rico Corp., (herein after "Toyota")
by and through the undersigned attorneys, and very respectfully states and prays:

I. INTRODUCTION

1. This Complaint seeks to recover for the injury caused by the Puerto Rico Ports Authority ("PRPA"), Crowley Puerto Rico Services, Inc. ("Crowley") and Oceanic General Agency Inc. ("Oceanic") through the normal, customary, and continuous collection of \$1,166,952.59 of an unconstitutional, and thus, unreasonable Enhanced Security Fee ("ESF"). The collection of the ESF patently and facially violated Section 11 of the Shipping Act of 1984 ("Shipping Act"), 46 U.S.C.A. § 41102(c).

2. On October 2013, the U.S. District Court for the District of Puerto Rico ruled in *Camara de Mercadeo, Industria y Distribución de Alimentos, et al., v. Bernardo Vázquez*, Civil No. 11-1978, that the ESF, charged to all vessels carrying cargo into the Port of San Juan, violated the dormant Commerce Clause, when collected from operators who did not undergo the scanning procedure.¹ Because of its nature, Toyota's cargo is neither subject to nor susceptible of scanning. Despite the ESF having been found unconstitutional in circumstances such as Toyota's, the co-respondents continued collecting the illegal fee from Toyota until 2017.

3. This Complaint seeks reparations for the injury caused to Toyota by Respondents through violations of the prohibitions against undue, unfair, unjust and unreasonably discriminatory and prejudicial practices that apply to marine terminal operators and common carriers under the Shipping Act of 1984, 46 U.S.C.A. §§ 41102 (c), 41104 (4), (5) and (9), and 41106 (2). The injury was caused by Respondents through the illegal, unreasonable and undue collection of the Enhanced Security Fee ("ESF") in the amount of \$1,166,952.59. Reparations are proper under 46 U.S.C.A. §§ 41301(a) and 41305(b). Toyota also requests attorney's fees pursuant to 46 U.S.C. § 41305(e).

4. Despite Toyota's good faith efforts to obtain voluntary reparations from PRPA, a resolution of this matter has not been reached.

II. JURISDICTION AND VENUE

5. This Honorable Commission has jurisdiction over the instant action pursuant to the Shipping Act of 1984 (46 U.S.C. §§ 41301(a)), as this case involves rates and practices of Marine Terminal Operators ("MTOs"), such as the P.R.P.A., and misconduct by Common Carriers such as Crowley Puerto Rico Services, Inc., and Oceanic General Agency, Inc.

¹ Toyota was not a party to the litigation that gave rise to the Federal Court Judgment.

III. PLACE AT WHICH A HEARING IS DESIRED

6. Since there are no genuine issues of material facts, this case should be decided without the need of an adversarial hearing, through summary judgment. In the alternative, for the convenience of the witnesses, Complainant petitions for a hearing in Puerto Rico.

IV. PARTIES

7. Toyota de Puerto Rico Corp. is a corporation duly organized under the laws of the Commonwealth of Puerto Rico under Register Number No.86405. Its physical address is 1361 Calle San Francisco San Juan, PR 00901. Its postal address is PO Box 9022946, San Juan, P.R. 00902-2946. Its phone number is (787) 641-3800.

8. The Puerto Rico Ports Authority ("P.R.P.A.") is a public corporation responsible for managing the San Juan ports facilities, including the terminals where containerized cargo is received. *See, Caraballo v. Autoridad de los Puertos de Puerto Rico*, 388 F.Supp.308 (PRDC) (PRPA is a "public corporation organized under the Laws of the Commonwealth of Puerto Rico and having legal capacity to sue and be sued".; *See also*, 23 L.P.R.A § 331. Its physical address is Calle Lindberg#64, Isla Grande Miramar, P.R. Its postal address is: POBox 362829, San Juan, PR 00936-2829.

9. Crowley Puerto Rico Services, Inc., is a corporation duly organized under the laws of the Commonwealth of Puerto Rico under Register Number No.14473. Its physical and postal address is: c/o Fast Solutions, LLC, Citi Tower, 252, Ponce de Leon Avenue, Floor 20 San Juan, PR 00918. Its telephone number is (800) 927-9801.

10. Oceanic General Agency, Inc., is a corporation duly organized under the laws of the Commonwealth of Puerto Rico under Register Number No.140379. Its physical address is Metro

Office Park Calle 1 Lot 11, Suite 101, San Juan, PR 00968. Its postal address is: Po Box 9066620, San Juan, PR 00906-6620. Its telephone number is (787) 625-2700.

V. FACTS

A. Existing Fees and Services at Port of San Juan

11. There are approximately ten ports of entry in Puerto Rico. The Port of San Juan is by far the largest, handling approximately 80% of all cargo that enters Puerto Rico.

12. P.R.P.A. owns and manages the Port of San Juan, which receives both containerized cargo and bulk (non-containerized) cargo. The latter include vehicles, fuel and molasses.

13. Shipping operators² handling cargo in the Port of San Juan are subject to the following fees, exclusive of the ESF:

- Rent—for the operator’s exclusive use of certain yards and warehouses in the Port of San Juan;
- Dockage fee—for the vessel to dock along an assigned pier, calculated by gross tonnage of the vessel;
- Port Service fee (harbor dues)—for the vessel’s entrance to the Bay of San Juan, calculated by gross tonnage of the vessel;
- Wharfage (facility surcharge)—for cargo to be unloaded and passed through the Port, calculated by cargo weight.

B. Origin of PRPA’s Container Scanning Regulation

14. Following the terrorist attacks of September 11, 2001, the International Maritime Organization created the International Ship and Port Facility Security Code. Congress followed suit in 2002 with the Maritime Transportation Security Act (“MTSA”), 46 U.S.C. §§ 70101 *et*

² We use the term “shipping operator” to track the language used by the court in Camara de Mercadeo, Industria, y Distribucion de Alimentos v. Vazquez, 2013 WL 5652076, at *14 (D.P.R. Oct. 16, 2013), *aff’d sub nom. Industria y Distribucion de Alimentos v. Trailer Bridge*, 797 F.3d 141 (1st Cir. 2015). The term is not used in the Shipping Act of 1984 under which this Complaint is filed. The concept includes “common carriers”, which term is defined in that Act.

seq., and the 2006 Security and Accountability for Every Port Act (“SAFE Port Act”), 6 U.S.C. §§ 901 *et seq.*

15. Until 2008, Puerto Rico’s port security was predominantly limited to random and manual searches of cargo. To bolster this piecemeal approach, the Legislative Assembly of Puerto Rico enacted Law 12-2008, known as the Law to Establish the Public Policy in the Area of Puerto Rico Ports Security, calling for improved safety procedures. 23 L.P.R.A. §§ 3221 *et seq.*

16. Under authority of Law 12-2008, in late 2011, PRPA promulgated Regulation No. 8067, (“Container Scanning Regulation”), which required the scanning imaging of all inbound cargo containers arriving and unloaded at the Port of San Juan.

17. The Container Scanning Regulation includes the following statement of purpose:

[T]his Regulation aims to regulate and govern the procedures at the new inspection facilities to be established by the Puerto Rico Ports Authority in its maritime port facilities at the Port of San Juan. The measure seeks to accommodate the interest of the Department of the Treasury to inspect up to 100% of all Inbound Cargo Containers, in order to identify unreported taxable goods, by a non-intrusive scanning (imaging) system that preserves a free and efficient flow of commercial traffic at the ports. It also seeks to establish the means necessary to improve security and safety at the port facilities, and/or to otherwise advance (or more efficiently advance) the public policy of the Commonwealth of Puerto Rico....

Reg., Art. II.

18. Pursuant to this regulation, by 2013 PRPA had installed scanning inspection lanes at the facilities of only three shipping operators³ at the port of San Juan: Crowley, Horizon Lines, and Sea Star Lines.

³ See footnote 3.

C. The “Enhanced Security Fee” (“ESF”)

19. P.R.P.A. ostensibly established the ESF to “recover all costs incurred in providing, repairing and maintaining the scanning system, related operations and areas”. Reg., Art. IV, ¶ J.

20. PRPA assessed the ESF on top of already existing fees charged to shipping operators to use port facilities.

21. The ESF was not a per service fee. It was based on the type of cargo and its weight.

22. The fee was calculated as follows:

Cargo in Containers:	\$ 4.00 per ton up to \$69 per container
General Cargo:	\$ 3.25 per ton
Motor Vehicles:	\$ 4.00 per ton
Liquid Cargo handled in Bulk:	\$ 0.039 per 42-gallon barrel
Liquid Sugar and Molasses:	\$ 0.58 per ton
Empty Containers or Chassis:	\$ 4.00 per unit

Reg., Art. IV, ¶ K.

23. ESF rates were determined according to an analysis prepared by PRPA’s Office of Tariffs Affairs and Economic Studies.

24. Pursuant to Regulation No. 8067 (effective October 11, 2011), “each ship’s or vessel’s agent with inbound cargo that effectively arrives, and is unloaded, in the Port of San Juan”, was required to pay the ESF. Reg., Art. IV, ¶ K.

25. PRPA charged the ESF whenever the above criteria were met, even if the cargo arrived through carriers who had no access to inspection lanes. That is, even cargo not subject to the scanning imaging process triggered the obligation to pay the ESF to support the scanning imaging process.

26. In October 2011, PRPA began collecting the ESF.

27. The regulations allowed PRPA to delegate collections of the ESF to any private party. Reg., Art. IV, ¶ J.

28. Acting as collection agents for PRPA, from 2012 to 2017, co-respondents Crowley and Oceanic collected \$1,166,952.59 in ESF from Toyota.

29. The vehicles that Toyota shipped through Crowley and Oceanic did not come in containers and were therefore not subject to scanning under the Cargo Scanning Regulations. Yet, Crowley and Oceanic invoiced Toyota for the ESF on behalf of PRPA.

D. The ESF Violates the Commerce Clause and is Therefore Illegal

30. In response to the Container Scanning Regulation and the ESF, thirty-two businesses and organizations importing cargo through the Port of San Juan sued PRPA and the Puerto Rico Treasury Department, challenging the constitutionality of the regulation and the ESF under the Commerce Clause of the United States Constitution. *See Camara de Mercadeo, Industria y Distribución de Alimentos., et al., v. Bernardo Vázquez, supra.*

31. The bulk of the evidence at trial centered on the constitutionality of the scanning regulation and the legality of the ESF as applied to all operators.

32. Broadly stated, one of the arguments in support of plaintiffs' position was that the ESF paid to fund the scanning imaging system was excessive when compared to the benefit or service received by port-facilities users paying the fee.

33. On October 2013, the Court issued its Opinion and Order. Though it upheld the ESF's constitutionality as applied to shippers with scanning stations at their terminals, it held unconstitutional as to shipping operators without such facilities. It concluded that companies subject to scanning individually benefited from a reputational standpoint—through increased

consumer confidence in the company's reliability and trustworthiness as a safe and law-abiding shipping operator.

34. In contrast, the Court noted that shipping operators who were not provided with scanning services did not receive such individual-reputational benefit or any other significant benefit in exchange for the ESF they were paying.⁴ The Court applied the standard set out by Evansville-Vanderburgh Airport Auth. District v. Delta Airlines, 405 U.S. 707 (1972),⁵ determining that said fee "is unconstitutional as applied to shipping operators without scanning facilities because it (1) does not fairly approximate their use or privilege of using port scanning facilities, and (2) is excessive relative to the benefits conferred." Accordingly, the court issued a permanent injunction against P.R.P.A.'s enforcement of the ESF as to such non-benefiting shipping operators.

35. As per the District Court's Order, the collection of the ESF from shippers who did not have scanning facilities at their terminals - such as Toyota - was illegal and, *per force*, unreasonable and unjust.

36. Despite the finding of unconstitutionality and the issuance of the injunction, the P.R.P.A., through Crowley and Oceanic, continued to charge the ESF to shippers of all types, irrespectively of whether there were scanning facilities at their terminals. This was the normal, customary and continuous practice until 2017, and impacted Toyota as a shipper.

⁴ This decision was affirmed in Industria y Distribución de Alimentos v. Trailer Bridge, 797 F.3d 141 (1st Cir.2015).

⁵ In Evansville-Vanderburgh Airport Authority Dist. v. Delta Airlines, Inc., *supra*, the U.S. Supreme Court ruled that a fee for the use of state-provided facilities would be held to be constitutional as long as said fee "is based on some fair approximation of use or privilege for use [...] and is neither discriminatory against interstate commerce nor excessive in comparison with the governmental benefit conferred". *Id.*, at p. 716-717. These three elements were reformulated as a three-pronged test in Northwest Airlines, Inc. v. County of Kent, 510 U.S. 355 (1994) ("[A] levy is reasonable under *Evansville* if it (1) is based on some fair approximation use of the facilities, (2) is not excessive in relation to the benefits conferred, and (3) does not discriminate against interstate commerce.").

37. Toyota's cargo was never scanned by P.R.P.A.'s scanning imaging system. However, P.R.P.A., through Crowley and Oceanic, continued to collect the ESF from Toyota, flagrantly violating the Shipping Act of 1984, 46 U.S.C.A. §§ 41102 (c), 41104 (4), (5) and (9), and 41106 (2).

38. Under the referenced sections of Shipping Act of 1984, a marine terminal operator (such as P.R.P.A.) and common carriers (such as Crowley and Oceanic) **must establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property. Section 41305 provides a remedy to the parties affected by the prohibited practices.** Accordingly, Toyota, as a covered shipper, has recourse to claim against PRPA, Crowley and Oceanic for the injuries caused in the collection of an unjust and unreasonable fee such as the ESF.

**V. FIRST CAUSE OF ACTION:
VIOLATION OF 46 U.S.C.A § 41102
SHIPPING ACT OF 1984**

39. The preceding paragraphs are incorporated by reference as if fully set forth herein.

40. The Federal Maritime Commission ("the FMC" or "the Commission"), is an independent federal agency charged with administering statutes that regulate shipping trade, including the Shipping Act and the Merchant Marine Act.

41. The purpose of the Shipping Act of 1984 is to "establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs." 46 USCA Sec. 40102k. The Act seeks to prevent discrimination in the provision of terminal services at port-facilities. *Plaquemines Port, Harbor and Terminal Dist. v. F.M.C.* 838 F.2d 536, 543 (1988).

42. Section 41102(c) of the Shipping Act provides that:

A **common carrier, marine terminal operator**, or ocean transportation intermediary may not fail to establish, observe, and enforce **just and reasonable** regulations and practices relating to or connected with receiving, handling, storing or delivering property.” (Emphasis ours).

46 U.S.C.A §41102(c).

43. The Shipping Act of 1984 defines a marine terminal operator as “a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49”. 46 USC sec. 40102(14).

44. Section 40102(6) (A) defines a common carrier as:

“...a person that-

- (i) Holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) Assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) Uses, for all or part that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign Country...”

45. Section 40102(22) defines the term “shipper” as:

- (A) a cargo owner;
- (B) the person for whose account the ocean transportation of cargo is provided;
- (C) the person to whom delivery is to be made;
- (D) ***
- (E) ***

46. Toyota owned, arranged for the ocean transportation on its account of, and was the person to who certain vehicles were to be delivered, through Crowley and Oceanic. As such, Toyota was a “shipper” under the Shipping Act of 1984, 46 U.S.C.A. § 40101(22).

47. The PRPA is engaged in the business of providing wharfage, dock, warehouse and other terminal facilities to common carriers and water carriers. As such, it is a marine terminal

operator under the Shipping Act of 1984, 46 U.S.C.A. § 40102(14). See: *Crowley Liner Services, Inc.; et al v. PRPA*, Dkt. No. 00-02 (2001) at p.13, (“PRPA has been involved in litigation before this Commission for many years and has been continually found to be a marine terminal operator”).

48. Both Crowley and Oceanic transported Toyota vehicles for compensation, by vessels operating in the high seas between several foreign ports, including Veracruz, Mexico and Toyihashi, Japan, and ports in the United States and Puerto Rico. Both assumed responsibility for transportation of said cargo from said points of receipt to their Puerto Rico destination. As such, they were common carriers under the Shipping Act of 1984, 46 U.S.C.A. § 40102(6).

49. While collecting the ESF fees to Toyota, P.R.P.A., as marine terminal operator, and Crowley and Oceanic, as common carriers, violated section 41102 (c) since they failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property.

50. “Section 41102(c) of the Shipping Act enjoins collection of unjust charges, requiring instead a reasonable correlation between the fee paid by the direct user of port-facilities, and the benefits the payers receive therefrom. See: *Volkswagenwerk Aktiengesellschaft v. FMC*, 390 US 261, 282 (1968). The standard is not whether the user received a substantial benefit in exchange of the fee, but whether the fee is reasonably related to the service rendered, based on a comparative cost/benefit analysis of concurrent users of the facility. (Emphasis ours.) *Kawasaki Kisen Kaisha, LTD., v. The Port Authority of NY and NJ*, 2014 WL 7328475, at *9

51. Just and reasonable regulations are defined as "a practice, otherwise lawful but not excessive and which is fit and appropriate to the end in view". *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 2000 WL 359985, at “29 (F.M.C.)

52. Both this Honorable Commission and Federal Courts have found that a fee is *unreasonable* under Section 10 "if it is not reasonably related, either to an **actual service performed for**, or **a benefit conferred upon**, the person being charged." *Burlington Northern Railroad Co. v. M.G. Terminals, Inc.*, 1992 WL 366150, at *20(F.M.C.). That is, a generalized public-welfare benefit does not render an unreasonable fee a reasonable one, just because it is directed to confer *some* benefit. Rather, the benefit must revolve around the one carrying the burden of its cost.¹⁶ In that context, if the user "pays more than other parties pay, for fewer benefits than other parties receive, then the charge is unreasonable under section 10(d)(1) of the Shipping Act". See *Plaguemines Port, Harbor & Terminal Dist. v. Fed. Mar. Comm'n*, 838 F.2d 536, 547-48 (D.C. Cir. 1988)

53. A violation of § 41102 (c) occurs when a regulated entity such as the PRPA, Crowley and Oceanic engage in an unjust or unreasonable practice or regulation on a *normal, customary, and continuous* basis. See 46 CFR part 545.4 as amended through Final Interpretative Rule No.RIN:3072-ac71 (12/12/2018).

54. ESF fees were unreasonable and unfair in violation of the Shipping Act because, as held by the District Court in *Camara de Mercadeo, Industria y Distribución de Alimentos., et al., v. Bernardo Vázquez*, Civil No. 11-1978, they were disproportionate (excessive) when compared to the (non-existent) benefit or service received by port-facilities users paying the fee without any scanning.

55. Toyota's shipments were not "container cargo" and as such, they were not subject to scanning. Yet, Toyota was required to pay the ESF.

56. Since the creation of the ESF, Toyota shared the burden of funding the costs of the scanning imaging system by periodically paying the Enhanced Security Fee to PRPA, through its collecting agents Crowley and Oceanic.

57. Respondents continually assessed and collected this fee from Toyota, an unscanned user, on a normal, customary, and continuous basis, even after a federal Court held that the ESF was unconstitutionally excessive with respect to the shipping operators that were not subject to using or receiving any scanning service. The same reasons that compelled a determination that the practice violated the Commerce Clause, render the practice unjust and unreasonable under the Shipping Act of 1984.

58. There cannot be any “reasonable correlation” between the burden of ESF payments and any services provided to Toyota, where Toyota’s cargo does not benefit from any scanning service. Therefore, the co-respondent’s practices while collecting the ESF fees were unjust and unreasonable in violation of §41102(c) of the Shipping Act.

59. The Court’s ruling on the ESF constitutionality recognized as much expressing that, **“it cannot be said that those shipping companies without scanning stations receive an ‘actual or potential benefit’** as users of the Port of San Juan”. See, *Cámara de Mercadeo, Industria y Distribución de Alimentos v. Vázquez, supra*, at p. 12.

60. There is no possible cost/benefit analysis where there are only costs for one party and benefits for the other, thus rendering the unreasonableness of the ESF self-evident when imposed on a user in Toyota’s position, whose cargo is not “container cargo” subject to scanning.

**V. SECOND CAUSE OF ACTION:
VIOLATION OF 46 U.S.C.A. § 41104
SHIPPING ACT OF 1984**

61. The preceding paragraphs are incorporated by reference as if fully set forth herein.

62. Section 41104 of the Shipping Act states as follows:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not—

[...]

(4) for service pursuant to a tariff, engage in any **unfair or unjustly discriminatory practice** in the matter of—

(A) rates or charges;

[...]

(9) for service pursuant to a service contract, give any **undue or unreasonable prejudice** or disadvantage with respect to any port;

63. As stated in paragraph 48, Crowley and Oceanic are Common Carriers covered by the Shipping Act of 1984.

64. Crowley and Oceanic violated Section 41104 since they, in conjunction with the PRPA, charged Toyota with the ESF, an unfair and unjustly discriminatory rate as applied to shippers such as Toyota, whose cargo is not scanned and who therefore receive no benefit from the scanning process.

65. Crowley and Oceanic violated Section 41104 since they, pursuant to a service contract, imposed an undue and unreasonable prejudice or disadvantage upon Toyota, by collecting the ESF from it even though its cargo was not subject to, and therefore did not benefit from, the scanning system.

66. Crowley and Oceanic collected the ESF from Toyota, an unscanned user, even after a federal Court held that the ESF was unconstitutionally excessive with respect to the shipping companies that were not subject to scanning.

67. Crowley and Oceanic collected the ESF from Toyota even though there were no services provided in exchange thereof to which the fee could be correlated.

68. Due to Crowley and Oceanic's misconduct, Toyota was burdened with a regulatory cost, receiving neither any actual service nor any direct benefit in exchange.

69. These practices unfairly and unjustly discriminated against and prejudiced Toyota in violation of 46 U.S.C.A. § 41104.

**VI. THIRD CAUSE OF ACTION:
VIOLATION OF 46 U.S.C.A. § 41106
SHIPPING ACT OF 1984**

70. The preceding paragraphs are incorporated by reference as if fully set forth herein.

71. One of the stated purposes of the Shipping Act of 1984 is to establish a nondiscriminatory regulatory process for the common carriage of goods, with a minimum of government intervention and regulatory costs. 46 U.S.C.A. § 40101.

72. Section 41106 (2) of the Shipping Act states as follow:

“A marine terminal operator may not-

(2) give any undue or unreasonable preference or advantage or **impose any undue or unreasonable prejudice** or disadvantage with respect to any person...”

73. When a claimant challenges the reasonableness of a fee under this provision, the inquiry is “not whether the petitioner has received some substantial benefit . . . , but whether the correlation of that benefit to the charges imposed is reasonable”. *See Volkswagenwerk Aktiengesellschaft v. FMC*, 390 US 261, 282 (1968).

74. The ESF does not meet this test, because the enhanced security fee as applied to shipping operators whose cargo is not subject to scanning (1) does not fairly approximate their use or privilege of using port scanning facilities, and (2) **is excessive relative to the benefits conferred**. *See, Cámara de Mercadeo, Industria y Distribución de Alimentos v. Vázquez, supra,*

at p. 12. This not only renders it unconstitutional under the Commerce Clause, but it imposes an undue and unreasonable prejudice upon Toyota in violation of 46 U.S.C.A. § 41106 (2).

VII. REMEDIES

75. Toyota seeks reparation for the damages caused by Respondents in the amount of \$1,166,952.59 plus interest. Toyota also claims attorney's fees. These remedies are proper under the Shipping Act of 1984, 46 U.S.C.A. § 41305.

VIII. INJURY AND CAUSATION

76. Ever since the ESF collections commenced, Toyota has paid \$1,166,952.59 to P.R.P.A. on account of ESF. The ESF, however, is an unjust and unreasonably discriminatory practice that unfairly burdens Toyota, because its cargo is not subject to scanning under the Container Cargo Regulations and it therefore receives no benefit from the scanning procedures.

77. This type of impact has resulted in the ESF being declared in violation of the Commerce Clause of the United States Constitution, and therefore illegal. The same reasoning supports the conclusion that the ESF is illegal under the Shipping Act of 1984, 46 U.S.C.A. §§ 41102 (c), 41104 (4), (5) and (9), and 41106 (2).

78. The regulations and practices implemented by the P.R.P.A. to create the ESF, and by Crowley and Ocean to collect it, in spite of the ESF having been declared unconstitutional as to shippers whose cargo is not scanned, are the proximate of Toyota's injury.

IX. PRAYER FOR RELIEF

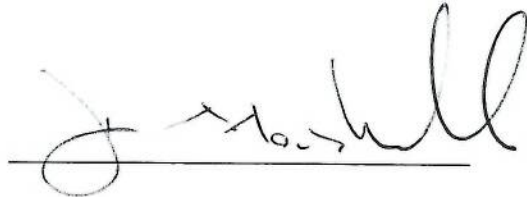
WHEREFORE, Complainant requests that respondent be required to pay reparations for the unlawful conduct in the sum of \$1,166,952.59, with interests and attorney's fees and any other remedies the Commission determines to be proper.

**UNSWORN DECLARATION
UNDER PENALTY OF PERJURY
18 U.S.C. § 1746**

I, Don Marshall, of legal age, married, Director of Legal Affairs of Toyota de Puerto Rico Corp., and resident of San Juan, Puerto Rico, on personal knowledge declare under oath as follows:

I have read the foregoing Verified Complaint and attest that the facts alleged therein are based on a diligent investigation of information reasonably available to me, which includes my personal knowledge, company records and accounts of other employees with personal knowledge of the facts. Those facts are the truth or are based on information that I believe is true.

I verify, under penalty of perjury, that the foregoing is true and correct. Executed on (date).
At San Juan, Puerto Rico, this 19TH day of December 2018.

A handwritten signature in black ink, appearing to read "Don Marshall", is written over a horizontal line.

RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico, this 20th day of December 2018

REICHARD & ESCALERA

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